

Mohammad Yaseen v. State of U.P. and 3 Others

Allahabad High Court · Division Bench · 22 April 2022 · Writ - C No. 3164 of 2022 · **Writ allowed with costs of Rs.5,000; order dated 17.12.2021 quashed and the objections remitted for a speaking and reasoned decision under Para 6.8 after hearing; coercive action stayed for six weeks or until that order, whichever is earlier**

HEADNOTE

Where, after an earlier writ directed the licensee to decide a consumer's pending objection to an electricity-theft assessment, the Executive Engineer rejects the objection without considering it and merely affirms the checking report and the demand, the order fails the statutory duty under Para 6.8 of the U.P. Electricity Supply Code, 2005. The Allahabad High Court quashed the order dated 17 December 2021, remitted the objections for a speaking and reasoned decision in accordance with law after a reasonable opportunity of hearing, preferably within four weeks of a certified copy, stayed coercive action for six weeks or until that order, whichever is earlier, and allowed the writ with costs of Rs.5,000 payable by the Executive Engineer. The Court did not decide whether theft was made out, the quantum, or the bribery allegations.

FACTUAL SUMMARY

Mohammad Yaseen challenged the 17 December 2021 order of the Executive Engineer, Purvanchal Vidyut Vitran Khand-II, U.P. Power Corporation Limited, Basti, demanding Rs.1,39,854 as an electricity-theft assessment and Rs.20,000, described in the prayer as a collection amount and in the order as compounding charges. The order refers to demand notice No. 2717 dated 7 December 2020, founded on a checking of his premises on 20 October 2020 said to have found theft, rejects his representation for re-examination of the assessment, and requires payment of Rs.1,59,854 within ten days of receipt.

He had denied theft in objections dated 20 January 2021, sent by registered post with a reminder dated 16 November 2021, relying on documents including a solar panel with batteries, and had alleged bribery. Writ-C No. 29398 of 2021 was disposed of on 10 November 2021 with a direction to decide that objection. The later order recited the direction, treated the checking report as correct, and rejected the representation. Yaseen sought certiorari and a mandamus against coercive action.

REUSABLE CONSTRUCTIONS

1. An assessing officer who rejects objections to an electricity-theft assessment without considering them fails the statutory duty under Para 6.8 of the U.P. Electricity Supply Code, 2005, and the order is liable to be quashed. ¶ 5-6
2. On quashing for that failure, the objections must be decided afresh by a speaking and reasoned order, after a reasonable opportunity of hearing. ¶ 6-7
3. A careless and arbitrary failure to consider objections which a prior writ had directed the assessing officer to decide may be visited with costs payable by that officer to the consumer. ¶ 4, 7
4. Pending the fresh speaking order, coercive action on the quashed demand is not to be taken, for a short outer period or until that order, whichever is earlier. ¶ 7

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

rejection of theft-assessment objections without considering them fails Para 6.8 and is quashed

QUESTION

Does an order that rejects a consumer's objections to a theft assessment without considering them satisfy the statutory duty under Para 6.8 of the U.P. Electricity Supply Code, 2005?

HOLDING

No. After Writ-C No. 29398 of 2021 was disposed of on 10.11.2021 with a direction to decide the pending objection, the Executive Engineer on 17.12.2021 rejected the representation, treated the checking report dated 20.10.2020 as correctly finding theft, and required deposit of the assessment of Rs.1,39,854 and a further Rs.20,000. The Court held that the objections were not considered at all and that respondent No. 3 had failed to discharge his statutory duty of deciding them in accordance with Para 6.8. The order dated 17.12.2021 is quashed and the matter is remitted to respondent No. 3 to decide the objections in accordance with law by a speaking and reasoned order, expeditiously, preferably within four weeks of presentation of a certified copy, after a reasonable opportunity of hearing. The writ is allowed with costs of Rs.5,000, payable by respondent No. 3 to the petitioner within two weeks by account-payee bank draft or cheque. For six weeks, or until that order, whichever is earlier, no coercive action shall be taken. ¶ 4-7

QUALIFIER

The Court did not decide whether theft was established, the quantum, or the bribery allegations. Demand notice No. 2717 dated 07.12.2020 was not separately set aside; coercive action stays until the fresh order or for six weeks, whichever is earlier.

FLAG The Court applied 'Para 6.8' to a demand the impugned order describes as electricity theft with a compounding charge. It did not discuss clauses 8.1 or 8.2. The prayer calls Rs.20,000 a collection amount; the quoted order calls it a compounding charge. The Hindi quotation is OCR-garbled; amounts, dates, and the English holding are taken from the readable record. Pins are numbered paragraphs 1-7.

PRINCIPLE TAGS

assessment-quashed-for-breach-of-clause-6.8-procedure The 17.12.2021 order was quashed because respondent No. 3 did not consider the objections at all and so failed to decide them in accordance with Para 6.8. ¶ 5-6

para-6.8-non-compliance-vitiates-assessment-and-recovery Non-consideration of the objections vitiated the order confirming the theft assessment and the demand for Rs.1,59,854. The order was quashed and coercive action was stayed. ¶ 5-7

speaking-order-required-for-theft-assessment The demand arose from a checking said to have found theft. The Court would not sustain a rejection that merely affirmed the checking report, and remitted the objections for a speaking and reasoned order after hearing. ¶ 4-7

opportunity-before-final-assessment The fresh decision must follow a reasonable opportunity of hearing. The Court treated the existing rejection as no consideration of the objections. ¶ 5-7

costs-and-officer-accountability-for-procedural-harassment Passed after an earlier writ had directed the objection to be decided, the 17.12.2021 order was described as a most careless and arbitrary discharge of the Para 6.8 duty. The writ was allowed with costs of Rs.5,000 payable by the Executive Engineer to the petitioner. ¶ 4, 7

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THEFT OF ELECTRICITY WAS ESTABLISHED, INCLUDING THE PETITIONER'S DENIAL AND THE SOLAR-PANEL-AND-BATTERIES EXPLANATION

Left to the speaking order on remand. ¶ 3, 5-6

NOT DECIDED — QUANTUM OF THE ASSESSMENT OF RS.1,39,854 AND OF THE FURTHER RS.20,000, AND WHETHER THAT SUM IS A COLLECTION AMOUNT OR A COMPOUNDING CHARGE

The Court quashed the confirming order without examining the figures or the label used in the prayer and in the order. ¶ 2, 4-6

NOT DECIDED — ALLEGATIONS OF BRIBERY AGAINST THE RESPONDENTS

Recorded as part of the objections; not adjudicated. ¶ 3

NOT DECIDED — WHETHER CLAUSES 8.1 AND 8.2, RATHER THAN PARA 6.8, GOVERN A THEFT ASSESSMENT

The impugned order describes electricity theft and a compounding charge. The Court applied Para 6.8 without discussing clauses 8.1 or 8.2. ¶ 4-5

